

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure
Large Cap (>\$200B) · Report Date: June 12, 2026
Latest financials: Q2 FY2025 · Model data as of 2026-06-12

BUY

Blended Target: \$520.42

DCF + Comps + Analyst (see cross-check table)

Implied upside: +35.4%

Price (Jun): \$384.30

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$520.42 (+35.4% vs \$384.30); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers... **BUY** rating; blended target \$520.42. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$2.85T	Shares Out.	7428.4M
52-Week Range	\$356.28 – \$555.45	P/E (TTM)	22.9x
P/B	6.9x	Beta	1.10
Avg Volume	35.00M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$281.72B	Rev Growth	+14.9%
Op. Margin	46.3%	FCF (TTM)	\$71.61B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	245,122	281,724	323,791	360,064	391,000
Revenue Growth (%)	N/A	14.9%	14.9%	11.2%	8.6%
Net Income (\$M)	88,136	101,832	117,038	130,149	141,331
Net Income Growth (%)	N/A	15.5%	14.9%	11.2%	8.6%
Gross Margin (%)	69.8%	68.8%	68.3%	68.3%	68.3%
Net Margin (%)	36.0%	36.1%	36.1%	36.1%	36.1%
ROE (%)	32.8%	29.6%	34.1%	34.4%	35.5%
EPS (\$)	11.86	13.71	15.76	17.52	19.03
Book Value / Share (\$)	36.14	46.24	46.24	50.98	53.53
P/E (x)	32.39	28.03	24.39	21.93	20.20
P/B (x)	10.63	8.31	8.31	7.54	7.18
Dividend Yield (%)	93.0%	93.0%	93.0%	93.0%	93.0%

Page 2 of 2 · Microsoft Corporation (MSFT) · Valuation · Industry · Peers · Data as of 2026-06-12 · Q2 FY2025

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$242.73	-36.8%	0% (excluded)	Diverges below other methods (46% of median)
Comps — P/E (peer median)	\$517.50	+34.7%	—	Peer median P/E 30.8x
Comps — EV/EBITDA (peer median)	\$571.14	+48.6%	—	Peer median 26.7x
Comps — P/S (peer median)	\$394.43	+2.6%	—	Peer median P/S 10.4x
Comps — Blended (avg. of available multiples)	\$494.36	+28.6%	61%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	\$561.39	+46.1%	39%	Included in blend
Blended target (weighted)	\$520.42	+35.4%	100%	Comps 61% + Analyst 39%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	10.07%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$71.61B
PV explicit (5Y)	\$377.37B
PV terminal	\$1.34T
Equity value (adj.)	\$1.80T
Implied price	\$242.73
vs. current	-36.8%

INDUSTRY ANALYSIS

1. Industry Overview

Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers Microsoft 365 commercial, enterprise mobility + security, windows commercial, power BI, exchange, sharepoint, Microsoft teams, security and compliance, and copilot; Microsoft 365 commercial products, such as Windows commercial on-premises and...

2. Key Trends

- Moderate revenue expansion (14.9% YoY)
- High operating leverage (46.3% margin)
- Sector: Technology | Industry: Software - Infrastructure

3. Risk Factors

- Standard sector cyclicalty and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	\$4.95T	31.2x	29.7x	63.0%	+85.2%
GOOGL	Alphabet Inc.	\$4.39T	27.5x	26.7x	37.9%	+21.8%
AAPL	Apple Inc.	\$4.26T	35.2x	27.2x	27.2%	+16.6%
AMZN	Amazon.com, Inc.	\$2.53T	30.8x	17.3x	12.2%	+16.6%
MSFT*	Microsoft Corporation	\$2.85T	22.9x	16.0x	39.3%	+14.9%

* Subject company. Trades at a discount on p/e vs peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.